



STRATEGIC ELECTRONICS: Strategise And Grow



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The Indian strategic electronics (SE) sector comprising mainly aerospace and defence (A&D) has the potential to become a vibrant industry in India over the next ten years. India is the seventh-largest A&D market globally. The budget is sizeable and spread across the requirements of the country's army, navy and air force.

India needs to modernise its A&D capital equipment base by addressing obsolescence as well as building additional capabilities through new capital acquisition. This requirement is also supplemented by additional budgetary allocations from Ministry of Home Affairs for paramilitary and state police force requirements. All of this would result in India being substantially attractive as an A&D electronics market.

Considering the importance of the industry in the electronics system design and manufacturing (ESDM) ecosystem, September 2015 issue of *Electronics For You* published an article titled, 'An Outlook For The Indian Strategic Electronics Sector.' However, given that the defence electronics industry ecosystem has evolved significantly in the last one year with respect to implementa-

tion and amendment of government policies related to defence procurement as well as foreign direct investment climate, we decided to take a fresh peek at this industry to understand how the opportunities and challenges have been shaping up.

Opportunities galore

The panel of experts that contributed to this report unanimously stated that they feel the industry is poised for growth. Of them,

Methodology

For this report, we received inputs from 16 senior professionals involved in the defence electronics industry either directly or based on their speeches delivered at Strategic Electronics Summit (SES) conducted by Electronics Association of India (ELCINA) in July 2016. This sample group is a microcosmic representation of India's SE industry ecosystem. These senior professionals shared their insights on:

- Growth of Indian defence electronics industry
- Impact of policy amendments on this sector
- Hindrances that impact growth of this sector

A trend analysis was done on the basis of their inputs. Results of the analysis are presented here.